

Meaning

- Management principles are the statement of fundamental truth which helps the managers for taking managerial actions and decision.

÷ Characteristics or features of management principles :

- (i) General Guideline - These principles are guidelines not static statement. It means blindly you can not apply these statements at any situation.
- (ii) Flexible - Management principles are flexible in nature. These are applied differently under different situations. You can make changes to these principles according to the requirements of the company.
- (iii) Formed by Practice and experiments - Management principles are develop only after deep and continuous research work. These are not develop overnight. Deep observations & experiments are conducted before developing them.
- (iv) Pervasive - Management principles are universal in nature. They can applied at all types of organisation irrespective the nature & size, business or non-business etc.

(v) Cause and effect relationship → As you all know that management principles are developed after continuous practice and research work. So these are based on cause and effect that means these principles tell us if a particular principle is applied on a particular situation, what might be the effect.

★ Importance / significance of management principle

(a) Scientific decision → Management principles are scientific decision. It means they are made with proper logic, reasons and fact. So, these principles help managers to take scientific decision.

(b) Provide guidelines to managers → Management principles give guideline to the manager. These principles improve knowledge, ability and understanding of managers under various managerial situations.

(c) Fulfilling social responsibility → Management principles play an important role in fulfilling the responsibility towards society. Managers must do something for society.

(d) Optimum utilisation of resources → Management principles helps managers to reduce the cost of production by optimum utilisation of resources. Management principles helps to remove wasteful movements and setting up of standard time to complete a task.

(E) Meeting changes in environment → Every businessman has to make changes in the organisation according to changes take place in business environment. Management principles helps managers to adopt these changes.

* In short

- Management principles are those scientific decision which provides guidelines to the manager so, that they can fulfilling social responsibility, optimum utilisation of resources and meeting changes in environment.

Fayol's Principles of Management.

Henry Fayol was a French mining engineer. Born on 29 July 1841, in Istanbul Turkey, He wrote a famous book 'Henry Fayol's' classic general and industrial management. Henry Fayol became famous as 'father of management studies and thoughts.'

(1) Division of work → According to this principle, the total work is divided into small units and one person is assigned to only one unit of work matching to his skills, qualification, interest and experience. This leads to specialisation and improve efficiency.

* Positive effects

- (i) Specialisation
- (ii) Improves efficiency

* Consequences of violation of this principle

- (i) Lack of efficiency
- (ii) There will be no specialisation
- (iii) Delay in achievement of goals.

(2) Authority and responsibility → Authority means power to take decision. Responsibility means obligations to complete the job assigned on time. According to this principle, there must be balance between authority and responsibility. Excess of authority leads to misuse of authority. Excess of responsibility leads to over burden.

* Positive effect

- (i) No misuse of authority
- (ii) Helps in meeting responsibilities on time without any delay

* Consequences of violation of this principle

- (i) Delay in work or incompleteness of work due to less authority.
- (ii) Misuse of authority due to excess authority
- (iii) Overburden with work with excess responsibility.

(3) Discipline → Discipline means following the code of conduct and rules of regulation of the organisation.

It is required at every level. superior and subordinate both have to maintain the discipline. This leads to systematic working in the organisation and improve efficiency. Sometimes organisations may put penalties on employees when they don't maintain Discipline.

* Positive effect

- (i) Systematic working in an organisation
- (ii) Improves efficiency.

* Consequences of violation of this principle.

- (i) Disorder, chaos and confusion
- (ii) Wastage of resources in absence of discipline
- (iii) Delay in work due to absence of rules and regulations.

(4) Unity of Command → According to this principle, a subordinate (employee) must have and receive orders from one superior (boss or manager).

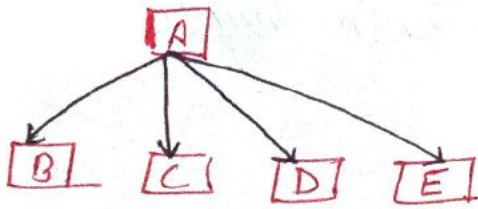
It means subordinate must report to only one superior if he is receiving orders from more than one boss. Then he will get confused and not be able to understand that whose order must be executed first.

* Positive effect

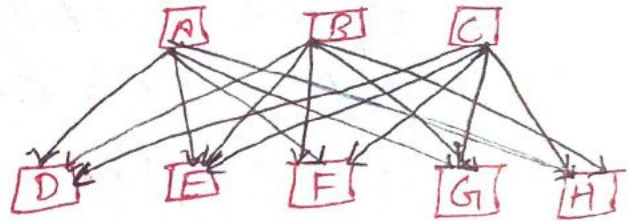
- (i) No confusion in the mind of subordinate
- (ii) No ego clashes
- (iii) Improve effectiveness in working

* Violation of this principle

- (i) Confusion in the mind of employee
- (ii) Subordinate will get chances to escape from his responsibilities.
- (iii) Ego clashes among different superior.
- (iv) Difficulty in maintaining discipline in the organisation.



Right



Wrong

(5) Unity of direction → According to this principle "one unit means one plan". that the all the members and employees of organisation must be directed towards one direction that is the achievement of organisational goal.

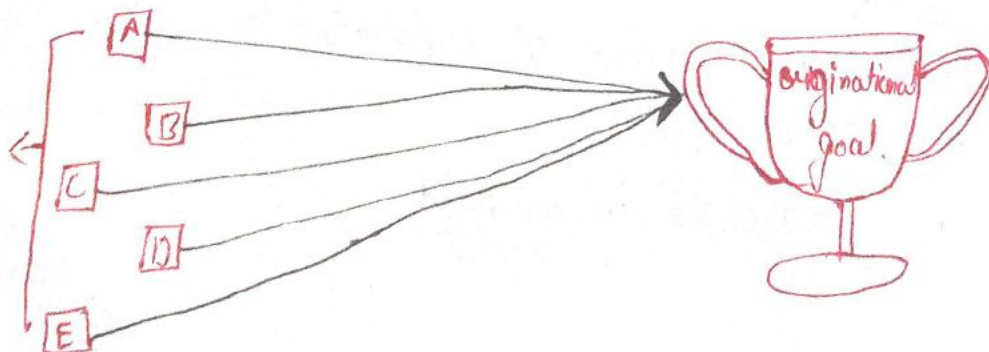
* Positive effect

- (i) Achievement of organisational goal
- (ii) Efforts of all the employees get unified towards one direction only

* Violation of this principle

- (i) Lack of co-ordination
- (ii) Wastage of efforts and resources by working in different direction
- (iii) Difficulty in achieving organisational goal.

Employees
or members



(6) Subordinate of individual interest to General Interest :-

- According to this principle individual goal is to be sacrificed for achievement of organisational goal. Goal of individual must be directed towards the achievement of organisational goal.

Manager must take all the decision in the organisation by giving priority to organisational interest and not his personal interest.

* Positive effect ✓

- (i) Achievement of organisational goal.
- (ii) Co-ordination b/w individual and organisational goal.

* Violation of this principle

- (i) No achievement of organisational goal.
- (ii) Even employees will suffer in long run.

(7) Remuneration of Person → According to this principle employees in the organisation must be paid fair remuneration which gives them maximum satisfaction. This will motivate employees to perform with their best ability.



* Positive effect

- (i) Employees get motivated
- (ii) Devotion and commitment of employees improves.

* Violation of this principle

- (i) Increase in turnover of employees.
- (ii) Dissatisfaction and demotivation of employees.

(8) Centralisation and Decentralisation → Centralisation refers to concentration of authority or power in few hands at the top level. Decentralisation means evenly distribution of power at every level of management. A company should not be completely centralised or completely decentralised. But there must be combination of both.

* Positive effects

- (i) Achievements of organisational goal
- (ii) Reducing workload of Managers.

* Negative effect.

- (i) Complete centralisation will result in delay in decision.
- (ii) complete decentralisation will result in misuse of authority.

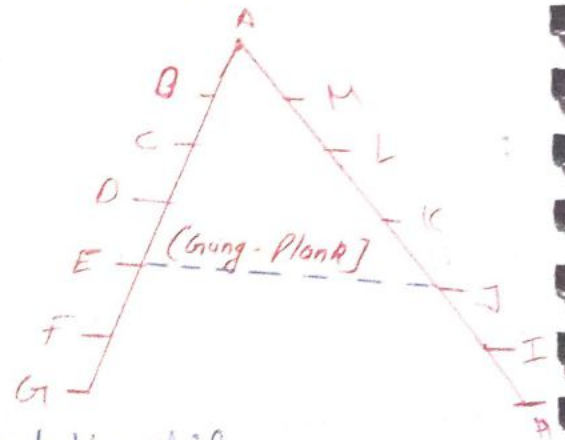
(9) Principle of scalar chain → Fayol thinks of the scalar chain as line of authority a chain of superiors from highest to lowest rank. Fayol insist that this chain must be followed strictly in the organisation. Information must pass through every one, no skipping is allowed. But in case of any urgent information Fayol suggested a shortcut called 'Gang-Plank'. This is a direct route to pass the information.

* Positive effect

- (i) Systematic flow of information
- (ii) No communication gap in the organisation.

* Violation of this principle

- (i) There may be communication gap.
- (ii) No clarity in authority and responsibility relationship.



(i) **Principle of order** → It means a place for every thing man and material should be at their place so, that when required anyone can find it easily without any wastage of time and energy.

* Positive effect

- (i) No wastage of time in search men and material
- (ii) Smooth and systematic working in organisation.

* Violation of this principle

- (i) Wastage of time and energy in search of men & material.
- (ii) Not able to contact the people at the right time.

(ii) **Principle of Equity** → Equity refers to kind, fair and just treatment to employees. Employees will put their maximum efforts only when they are treated with kindness and justice. If a manager is biased in dealing with employees then employees will get dissatisfied and not contribute maximum efforts. It does not mean to give equal salary to a peon and supervisor it means rules and regulations are same for all level. No discrimination on account of sex, religion, language, caste, belief or nationality.

* Positive effects

- (i) Employees get satisfied
- (ii) Motivate the employees and boost up the morale of the employees.

* Violation of this principle

- (i) Dissatisfaction in employees
- (ii) Increase in turnover
- (iii) unhealthy relation b/w superior and subordinate.

(12) **stability to tenure of personnel** → According to this principle management must provide the feeling of **job security** among the employees. no **frequent transfer** and **termination** should take place.

Company **spend too much** on a new employee by **providing them training**. If they **leave the job after training** it would be a **loss** for company. Organisation should give proper **time to settle the employees**.

* **Positive effect**

- (i) **improve efficiency** ~~best~~ level of employee
- (ii) **no wastage of time and resources**.

* **Violation of this principle**

- (i) **wastage of resources** in learning the new job
- (ii) **frustration and dissatisfaction** among employees

(13) **Initiative** → Fayol suggested that **employees in the organisation** must be **given an opportunity** to **take some initiative** in **making and executing a plan**. This will **motivate employee** so managers must **welcome the suggestions and ideas of employees** before **forming the plan**. This would **create a feeling of belongingness**.

* **Positive effect**

- (i) **Developing feeling of belongingness** in employees.
- (ii) **Employees achieve target on time** if they are set up with their consultation.

* **Violation of this principle**

- (i) **Employees will not work to the best of their ability**
- (ii) **Demotivation among employees**.

(14) *Esprit de corps* → A managers should replace 'I' with 'we'.
→ This will give rise to mutual trust. managers should encourage and promote team spirit. group efforts is more powerful than individual spirit efforts.
Organisational goal can be achieved easily through group contribution.

* Positive effect

- (i) Develops team spirit
- (ii) Achievement of group goal.

* Violation of this principle.

- (i) Team goal may not be achieved.
- (ii) No team spirit and more stress on individualism.

Scientific Management

- It means application of science for each and every element of management
- F.W Taylor was an American born on 20 March 1856, in Pennsylvania, USA.
- He was known as 'father of scientific management'.

Scientific principles of management

(1) Science, not rule of thumb → Taylor suggested that each job performed in the organisation should be based on scientific enquiry and not on basis of experience. Rule of thumb means dictatorship of manager whereas scientific decisions are based on cause and effect relationship. Taylor believed that there is only one best method to maximise efficiency i.e. work study. The method so developed should be substitute of rule of thumb. Here every decision are taken scientifically eg. In rule of thumb standard time required to do a particular job is decided by a manager on the basis his past experience. But Taylor insist that standard time for a job should be set up scientifically by conducting Time study.

(2) Harmony, Not discord → As per the principle workers and managers should work together with harmony, not discord. Generally both workers group and management group work as rival for each other. Workers always feel that they are underpaid and overburdened and managers always feel that workers are good for nothing. Both groups should change their attitude towards each other through mental revolution. Workers should accept that the interest of workers and management is same.

workers are want to earn more instead of discord each other. workers can earn more by providing more which lead to increase the gain of a company and then management should share the gain of company with workers. In Japanese companies manager treat workers as part of their family.

(3) Co-operation, not individualism → According to this principle work must be carried on in co-operation with each other. The management must take workers in confidence before setting up the standard task for them. Managers should welcome workers suggestions and rewards also given for good suggestions. At the time some time workers should not go on strike and make unreasonable demands. managers should work side by side with workers.

(4) Development of workers for their greatest efficiency and prosperity → According to this principle, the efficiency of each and every person should be taken care of right from his selection. A proper arrangement of everybody's training should be made. Company should try to update the knowledge of employees time to time. Employer's should given promotional opportunities and also job security. This will ensure greatest efficiency and prosperity for both worker and company.

Scientific techniques of Taylor.

(1) Functional foremanship $\rightarrow$ According to Taylor factory should be divided into two departments: Planning and production department. Taylor felt that workers must be free from burden of planning and they must concentrate on work and production, and planning department should focus on planning, policy & strategy making. To develop specialisation in both department Taylor suggested 4 experts or specialist in each department because one person is not expert in every field of work.

* Under planning department

- (i) Route clerk $\rightarrow$ They are responsible to fix up the sequence of steps to performing a manual job.
- (ii) Instruction card clerk $\rightarrow$ They are responsible for giving instructions to carry on the job in a specified manner.
- (iii) Time and cost clerk $\rightarrow$ They are responsible for fixing time of the job (start & end) also prepare cost sheet.
- (iv) Discipline $\rightarrow$ They are responsible to ensure discipline in the work place. He enforces rules and regulations and maintain discipline.

* Under operational department

- (i) Gang Boss $\rightarrow$ He arrange all the machines and tools ready for operation by workers so that there is no delay.
- (ii) Speed Boss $\rightarrow$ He is responsible for timely and accurate completion of job.
- (iii) Repair Boss $\rightarrow$ This boss ensures proper working conditions of machines and tools, if not they have to be repaired.
- (iv) Inspector $\rightarrow$ He ensures that work is done as per the standards of quality of work set out by Planning department.

(2) Standardisation and simplification of work.

- Scientific management always insist on maintaining Quality standards. Standards should maintain from the beginning like selection of tools, equipments, raw material & machines. Standard size, weight, height etc. also keep in mind. Simplification mean elimination of unnecessary division of products, size and types. This also reduce cost and improve Quality.

(3) Work study $\rightarrow$ It ensures maximum production at minimum cost and getting best contribution from every factor.

- (i) Fatigue study $\rightarrow$ It is conducted to find out the frequency of rest intervals, duration of rest intervals and the number of rest intervals. A person is bound to get tired when he is performing a job for long period of time so, they need

rest interval but the rest interval and its duration is decided with the help of scientific approach.

To conduct fatigue study Taylor suggested to observe an average worker when he is performing a job and note down the time when that worker starts getting tired and when his efficiency level starts decreasing then give him break. Similarly rest of frequency also decided.

(ii) Method study $\Rightarrow$ This technique is conducted to find out the best method of performing the task. Taylor suggested that methods of production is decided by trying all the methods and one which brings max. benefits and minimum cost should be selected.

(iii) Time study $\Rightarrow$ This technique is conducted to determine the standard time to perform a job, setting up the standard target for workers, categorising the efficient and inefficient workers.

Taylor suggested that the time required to perform a job should be decided scientifically in time study. Taylor suggested to observe an average worker when he is performing the job with a stop watch and note down the average time taken by the worker in completion of job. repeated the same operation 100 times and then taken out the average. Similarly target are also determined scientifically. If the worker is able to achieve the targets on time he is an efficient worker and if not then he is an inefficient worker.

(iv) Motion study $\Rightarrow$ This study is conducted to determine the productive and unproductive movements, cutting down the unproductive and wasteful movements. To conduct motion study Taylor suggested to observe an average worker when he is performing the job, note down all the movements he is doing. How many times he is getting up from his place, repeated it for 100 times with different workers after writing all the movements classify them as productive and unproductive movement.

(4) Differential piece wage system $\Rightarrow$ Taylor emphasis on paying different wage for efficient and inefficient employee.

- This technique is a strongest motivation for employees to perform efficiently.
- Company must fix a standard rate of wage for workers productivity standard output. The workers who produce more than the standard-target must be paid with the higher rate and those who are producing less than standard output must be paid with less rate.

(v) Mental Revolution $\Rightarrow$ The objective of this technique is to change the negative attitude of workers and management towards each other. There should be co-operation b/w workers and management. Both should realise that each one is important for this. Both had to change their thoughts for each other, this is known as mental revolution.

